

"Making Money Is Easy"

The implication of the latest academic studies, the linear extrapolation of past trends, and the exhortations to buy and hold, is that making money through investments is easy. The truth is that making money in markets is normally difficult; in fact, for most people, *it is impossible*. If you do not believe it, ask Merrill Lynch or the I.R.S. what is the percentage of nonprofessionals who make a net profit in investments over a lifetime. A principal of a futures brokerage firm once confided to me that never in the history of the company had customers in the aggregate ever made a profit over a calendar year; they lost money *every year*. Stock picking and bond investing are no different in that regard except that the time frame for ultimate loss is extended. Like any skill, investing must be *learned* before it can be successfully applied. Making money in the past three years in stocks has been easy *only if you believe that making money in markets is easy*. If, like the "old trader" referenced in an earlier quote, you know how difficult it is, you probably have not been fully invested in stocks as they have continued to rise in high valuation territory without a significant correction.

The fact that so many investors, particularly naive investors, have looked so right for a four-year period is simply a reflection of how terribly wrong they ultimately will be. Whatever the near term outcome, on a long term basis you can rest assured that the bullish public is not right. Nor are the professionals who are rationalizing holding a fully invested position here in 1995, when they were fearful and underinvested in 1975 and 1985. Those who think making money is easy will not sell before the market turns down, and their profits will be wiped out in a matter of weeks. Those who are positioned to catch the trend change will make more money in one year than the longs will have made in five.

"I Have No Choice"

The most insidious hooks are those that ensnare even people who would prefer to be cautious. According to one article, some professionals admit that they are trapped in this outrageously overvalued market because the public is bullish. A manager of \$600 million worth of stocks at a major bank was bearish in 1993 but 95% invested, explaining, "I'm negative, but you either invest or lose clients." Many portfolio managers today are fully invested in stocks and bonds simply because if they were not, their clients would leave. This practice is destructive, of course, since in essence *it consists of*